in Kalikot, Dailekh, Surkhet, Dang, and Pyuthan, adjacent to the Maoists' main strongholds, the government's presence was negligible outside major towns.

A Maoist takeover of Nepal did not seem an entirely unrealistic scenario, but, much to the relief of especially the Chinese, the CPN-M's 'people's war' came to an abrupt end when a peace accord was signed on 21 November 2006.[31] The 10-year insurgency had seen 15,000 people killed, more than 100,000 internally displaced, and the country's infrastructure reduced to shambles. The accord came after three years of talks and strenuous efforts at mediation by internal peacemakers. The combatants of the CPN-M's 'people's army' were to be confined to seven cantonments supervised by the United Nations. Their guns would also be stored at those cantonments. The combatants would then be 'rehabilitated', while their leaders were to be given adequate protection.

In return, the agreement stated,

> No state powers shall remain with the king. The properties owned by the late King Birendra, the late Queen Aishwarya and their family members shall be brought under the control of the Government of Nepal and used in the interest of the nation through a trust. All properties (such as palaces at various places, forests and National Parks, heritages of historical and archaeological significance etc.) acquired by King Gyanendra in his monarchical capacity shall be nationalised.[32]

The agreement also stipulated that policies should be formulated to implement a land reform and

> In order to end discriminations based on class, ethnicity, language, gender, culture, religion and region and to address the problems of women, Dalit, indigenous people, ethnic minorities (Janajatis), Terai communities (Madhesis), oppressed, neglected and minority communities and the backward areas by deconstructing the current centralised and unitary structure, the state shall be restructured in an inclusive, democratic and forward looking manner.[33]

The agreement fell well short of establishing the communist 'people's republic' that the CPN-M had been fighting for, but the party could now operate openly and take part in general elections. There was peace at last in Nepal and elections were held on 10 April 2008. The CPN-M emerged as the largest party in the constituent assembly with 220 out of 575 contested seats. King Gyanendra was forced to abdicate on 28 May, marking the end of the Shah Dynasty, which had ruled the country since 1768. The Assembly decided that Nepal was going to become a federal republic and